

KITWE

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SOLWEZI

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**SECTION 1: CLIENT INFORMATION**

Application date	11/02/2021		
Customer name:	SUPRIAG TECHNICAL AND PROCUREMENT LIMITED		
Contact address (physical address and other contact details)	Mr. MOFFAT BANDA Kitwe- ZAMBIA Cell: +260 955 839526 149 Luella Street, Nkana East E-mail: supriag@zamnet.zm		
Risk grade		Risk assessment	
Shareholders	<u>Name</u> Moffat M Banda	<u>Nationality</u> ZAMBIAN 216541/52/ ZAMBIAN	<u>Shares (%)</u> 50
	Lorrane N Banda	206541/16/1	50
Share capital	Authorised: 15,000		
Directors	<u>Name</u> Moffat M Banda	<u>Nationality</u> ZAMBIAN 216541/52/1	
	Lorrane N Banda	ZAMBIAN 206541/16/1	
Company reg. no.	120040054256	Years in business	7 Years
Line of business	Mechanical Hardware Supplies		
Industry	Mining	Sector	Civil Engineering
Amount sought	ZMW26,000	Tenor	60 Days
Facility type	Invoice Discounting	Purpose	To meet operational needs
Conditions	- Deed of assignment assigning the receivables on invoice indicated in table 1 to Inde Credit. - An officer from Inde Credit to remain co-signatory to the account held with Stanbic Bank. - Supriag Technical and Procurement Limited to write to their bankers to transfer ZMW30,940 to Inde Credit Company Limited on due date.		
Processing fee	0%	Facility to invoice ratio	68.60%
Discounting fee	19%		

Facility due date	11/04/2021
Review date	28/02/2021
Financial year end	31/12/2021
CRB search	Record Clean
PACRA search	Results are consistent with documents submitted

SECTION 2: PREVIOUS INDE FACILITIES

Type of facility	Currency	Approved limit	Disbursed amount	Maturity date	Date fully repaid
1 Invoice Discounting	ZMW	25,000	25,000	16/08/2019	27/08/2019
2 Invoice Discounting	ZMW	25,000	25,000	02/09/2019	16/10/2019
3 Invoice Discounting	ZMW	25,000	25,000	29/11/2019	21/11/2019
4 Invoice Discounting	ZMW	25,000	25,000	19/02/2020	10/02/2020
5 Invoice Discounting	ZMW	26,000	26,000	15/03/2021	01/02/2021

No facility running.

SECTION 3: HR AT COMPANY

Number of employees		Total	Last update (month/year)
Casual employees	Permanent employees		
0	2	2	02/2021

SECTION 4: DUE DILIGENCE

Off taker	MOPANI COPPER MINES PLC Mopani Copper Mines PLC is a Mining company registered on Zambia owned by ZCCM-IH (10%), Glencore PLC (73%) and first Quantum Minerals Ltd (16.9%) as at December 2017. Mopani Copper Mines Plc was originally part of Zambia Consolidated Copper Mines Limited (ZCCM), and was state-owned until its privatization in 2000. In April 2000, Mopani purchased the ZCCM assets at Mufulira and Nkana, consisting of the underground mine, concentrator, smelter, refinery and cobalt plant, from the government. Following privatization the Zambian Government retained a stake in the mining industry through ZCCM Investments Holdings Plc (ZCCM-IH) which is an investments holdings company, quoted on the Lusaka, London, and Euronext stock exchanges. The majority of its investments are held in the copper mining sector of Zambia. It was important to find a name that retained the acronym "MCM" after privatization, because MCM is the London Metal Exchange listed name for copper produced at Mufulira Refinery. Mufulira copper is considered amongst the purest copper in the world. Off taker's Payment Cycle Mopani Copper Mines PLC is a well reputed and prompt payer with whom BFC has had a good record on related Facilities. The off taker was traditionally taking 30 days after date of invoicing to pay its suppliers, but since signing a Reverse factoring facility with Focus Financial Services, the off taker pays once a month.
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Client	Supriag Technical & Procurement Limited is a wholly Zambian owned company Limited by shares. The company was incorporated in 2006. The company offers the following services ; ✦ Mechanical & Electrical Engineers ✦ Labour Hire – Artisans, Mechanics, Foremen, Planners all trades. ✦ Plant Maintenance ✦ Fabrication works ✦ Civil Engineering ✦ General Civil services (Building & Maintenance, Carpentry, Plumbing & Painting) ✦ Mechanical construction, installation and commissioning. ✦ Rehabilitation of valves, Gearboxes, Pumps. ✦ Plant demolition ✦ Repair of machine tools ✦ Plant audits – restricted to mechanical and electrical trades In addition, The company supplies the following products: ✦ Mechanical hardware supplies e.g Gear Boxes, Conveyor rollers (all sizes), Vacuum pumps, David brown couplings (all sizes), etc. ✦ Electrical hardware supplies e.g Flow and Meggar meters, Voltage and AMP meters, Fuses (all sizes), Bulbs (all types and sizes), Electrical fluorescence fittings, etc. ✦ Instrumentation Hardware supplies e.g Gauges (all types), Panels, Ring bells, Flow Charts, Sirens, etc. ✦ Other Products e.g Supply of protective wear, office stationary, food stuffs, machine tools spares, drill bits, etc. The following are clients that the company has worked with so far; ✦ Chambeshi Metals Plc ✦ Nkana Concentrator ✦ Nkana Mopani Stores ✦ Chibuluma Mines ✦ Mopani Copper Mines Plc ✦ Nkana and Mufulira Mine sites ✦ KCM Company Details Summary Date of Incorporation: 6th of January, 2004 Physical Address: 149 Lueta Street, Nkana East, Kitwe. E-mail: supriag@zamnet.zm TPIN: 1001727647 VAT: TBA Postal Address: P.O BOX 21155 Company registration Number: 120040054256
Security	✦ Deed of assignment assigning the receivables on invoice indicated in table 1 Inde Credit. ✦ Inde Credit to be added as co-signatory to the account held with Stanbic Bank. ✦ Supriag Technical and Procurement Limited to write to their bankers to transfer ZMW30,940 to Inde Credit Company Limited on due date being proceeds from invoices described in Table 1.

SECTION 5: BANK ACCOUNT DETAILS AND STATISTICS

The business banks with Stanbic bank and submitted bank statements summarized below:

MONTH	DR (ZMW)	CR (ZMW)
October	100,257.97	147,755
November	86,392.22	125,070
December	144,716.99	96,645
January	39,300	00.00
Total	370,667.18	369,470.00

Notes on bank statements:

- ❖ The analysis of the bank statement shows that Supriag has been active.
- ❖ The statement shows that 98% of the credits are payments from Mopani Copper Mines.
- ❖ Statement does not show a record of bounced cheques.
- ❖ Debits on the account were cash withdrawals made by the Director Loreen and Mr Banda Moffat.

SECTION 6: ABOUT THE TRANSACTION

Supriag Technical and Procurement Limited are approaching Inde Credit for the **Twenty-Third** time and are applying for an Invoice Discounting Facility of **ZMW26, 000.00**. The client has invoices worth **K37,900.00** for the supply of high-grade solvent cleaner at Mopani Copper Mines Plc.

Vendor	Invoice Number	Value ZMW	Date issued	Payment terms
Mopani Copper Mines Plc	543	28,425	09/02/2021	30 Days from invoice date
	546	9,475	0902/2021	
		37,900		

SECTION 7: PRICING

The transaction will be priced as follows:

- Inde gets commission (Discount Fee) of **9.5%** of **ZMW26,000.00** on the transaction on the 60th day. However, if payment is made any day between the 30th and 60th, payment shall be prorated i.e., 9.5% for 30 days.
- If the off-taker takes longer than 30 days to pay, Inde will charge a further 12.5% on the balance for every month that the off-taker delays to pay.

SECTION 8: RISK ANALYSIS

- ◆ **Fraudulent Risk:** This is averted by the fact the invoices have been confirmed with MCM Plc.
- ◆ **Security Risk:** A Deed of Assignment ceding full value of the Invoices described in **Table 1**, issued to Mopani Copper Mines PLC by Supriag Technical and Procurement Limited.
- ◆ **Delay in Payment:** The off taker honours its obligations 30-45 days after receiving Invoices from its suppliers of goods and services.
- ◆ **Risk of Diversion:** The risk is averted by the fact that an officer from Inde Credit Company Ltd to be added as co-signatory to the client's account.
- ◆ **Risk of Off-taker's Default.** The risk is averted by the fact that Mopani Copper Mines PLC is an exceptional payer that honours its obligations 30-45 days from date of receiving an invoice.

SECTION 9: REGULATORY ENVIRONMENT		
		Y/N
LARGE LOAN EXPOSURE (Statutory Instrument no. 96 of 1996)	FALLS UNDER THE CATEGORY OF LARGE LOAN EXPOSURE	No
	Exposure exceeds 10% of Regulatory Capital (RC)	No
	Facilities total to more than 25% RC	No
	Aggregate of all large loans exceeds 600% of RC	No
INSIDER LENDING (Statutory Instrument No. 97 of 1996)	FALLS UNDER THE CATEGORY OF INSIDER LENDING	No
	This Insider Exposure totals to more than 10% of RC	No
	All insider lending exceeds 100% of RC	No

VERIFIED BY:

Relationship manager

Name: Paul Kalubale

Signature:

Credit appraiser:

Name: Philip Bwembya

Signature: